NAME: Hannah Kibble **668 Final Project: Kent Anderson DCF Model**

DATE: 05/05/2026

ASSUMPTIONS

Description

668 Final Project: Kent Anderson DCF M	Beginning Base Lot Price	Number of Lots	Sales Without Escalation	Sales with Escalation1
Phase 1	$85,000	103	$8,755,000	$9,564,625
Total		**103**	**$8,755,000**	**$9,564,625**

Total Sales With Escalation1		Other Revenue*	=	Total Revenue	-	Total Cost	=	Profit
$9,564,625	+	**$2,556,192**	=	**$12,120,817**	-	**$9,299,779**	=	**$2,821,038**

IRR

22.46%

	Loan Request	Total	% Financed	Initial Amount Financed
Loan Option 1	Estimated Appraised Value of Phase 1	$8,755,000	85%	$7,441,750
Loan Option 2	Estimated Cost of Phase 1	$8,578,507	85%	$7,291,731

Maximum Loan
$7,291,731

Equity Requirement

Loan Option 2	Estimated Cost of Phase 1	$9,299,777	85%	**$2,008,046**

Input Variables for 668 Sample

Base lot price	85,000		
Lot yield	103		
Gross acres	24.127		
Per Square Foot Land Price	2.00		
Development hard costs per lot	*See Prelim Budget*		
Appraisal	*See Prelim Budget*		
Loan origination fee	*See Prelim Budget*		
Environmental study	*See Prelim Budget*		
Total Geotechnical/Materials Testing	*See Prelim Budget*		
Survey/Eng./Blue Prints/Planning (Per Lot)	*See Prelim Budget*		
Closing Costs per Lot paid at each Lot Closing	250		
Per lot development/ construction mgmt fee	-		
Per month administrative fee	-		
Legal/Title	-		
Per acre property taxes	1,250		
Per lot property taxes = base lot price x rate	2.96%		
Initial Escalation Rate on Lots	7.50%		
Escalation Rate Increase	0.5%		
Initial Interest Rate on A&D Loan	8.50%		
A&D Loan Interest Rate Increase	0.25%	July-Yr 3	
Lender's Collateral Release Rate	95%		
Average outstanding loan balance	65%		
Effective Date	***Mar-25***	Yr 1	
Earnest Money	***25,000***		
Additional Earnest Money- Paid at end of Feasib	***50,000***		
Feasibility Period	***90***	*Days*	
Initial Lot Closing	10	Lots	July- Yr 2
Quarterly Lot Closing	10	Lots	
Max Loan is lesser of 85% of cost or 85% of value			
No Roll-Back Taxes			
No Loan Fees			
Lots Substantially Complete	***Jul-26***	Yr 2	
A&D Loan Closes AND Land Closing	***the Month after Feasibility exprires***		June- Yr 1

Development Loan Interest Estimate

Land Cost	2,101,944
DEVELOPMENT COSTS	***6,027,416***
Interest Expense	449,147
Total Estimated Development Costs	8,578,507

MUD Reimbursement 12 months after last LOT CLOSING

* MUD REIMBURSEMENT

PRELIMINARY BUDGET
24.127 Acres

PRELIMINARY ESTIMATE

	Estimated Development Costs		**Total Amount**	F
1	Land Cost		2,101,944	
2	Rollback Taxes		0	
3	Boundary Survey, Topo, Land Plan, Environmental, Geotec		50,000	
4	Clearing and Grubbing		36,191	
5	WS&D Distribution		1,930,160	
6	Detention Pond		0	
7	Off-Site WS&D		50,000	
8	Paving		1,930,160	
9	Off-Site Paving		250,000	
10	Engineering - WS&D		396,032	
11	Engineering - Paving		436,032	
12	Engineering - Drainage Study		50,000	
13	Engineering - Miscellaneous		25,000	
14	MUD Creation/Annexation		0	
15	Materials Testing - WS&D		59,405	
16	Materials Testing - Paving		65,405	
17	Entries, landscaping, amenities, etc.		103,000	
18	Removal of House, plugging of wells, etc…		50,000	
19	Legal Fees		50,000	
20	Development Management Fees		0	
21	SWPPP		55,000	
22	HOA Administration/Subsidy		75,000	
23	Development Loan Interest		0	
24	Property Taxes		0	
25	Contingency		416,032	
	TOTALS	7,713,328	**$8,129,360**	
	COST PER LOT		***$78,926***	
	COST PER ACRE		***$336,940***	
	MUD Reimbursement Percentage		100%	

	6,027,416.1
	(6,027,416)
	0.1

Acres	24.127
Net Acres	24.127
Lots	103
DU/AC	4.3

MUD Reimbursables Budget		**Developer Share**
0		2,101,944
0		0
0		50,000
18,095	*	18,095
1,930,160		0
0		0
50,000		0
0		1,930,160
0		250,000
396,032		0
0		436,032
50,000		0
25,000		0
0		0
59,405		0
0		65,405
0		103,000
0		50,000
0		50,000
0		0
27,500		27,500
0		75,000
0		0
0		0
0		416,032
$2,556,192		**$5,573,168**
$24,817		***$54,108***
$105,947		***$230,993***

Paid at Closing
N/A
Paid at Closing
Paid the month after Closing
Paid over 6 months- starts 3 months after CLOSING
N/A
Paid over 6 months- starts 3 months after CLOSING
Paid over 6 months- starts 5 months after CLOSING
Paid over 6 months- starts 5 months after CLOSING
Paid over 8 months- starts the month after CLOSING
Paid over 8 months- starts the month after CLOSING
Paid over 8 months- starts the month after CLOSING
Paid over 8 months- starts the month after CLOSING
N/A
Paid over 8 months- starts the month after CLOSING
Paid over 8 months- starts the month after CLOSING
Paid over 3 months- starts 10 months after CLOSING
Paid the month after Closing
Paid at Closing
N/A
Paid over 12 months- starts the month after CLOSING
Paid the same month as the first Lot Closing
N/A
Calculated in the Cash Flow worksheet
Paid over 12 months- starts 3 months after CLOSING

SALES PROCEEDS

A&D Loan & Land Closing

Initial Lot Closing
Initial Lot Closing

	Total		*Jan- Yr 1*	*Feb- Yr 1*	*Mar- Yr 1*	*Apr- Yr 1*	*May- Yr 1*	*Jun- Yr 1*	*Jul- Yr 1*	*Aug- Yr 1*	*Sep- Yr 1*	*Oct- Yr 1*	*Nov- Yr 1*	*Dec- Yr 1*	*Jan- Yr 2*	*Feb- Yr 2*	*Mar- Yr 2*	*Apr- Yr 2*	*May- Yr 2*	*Jun- Yr 2*	*Jul- Yr 2*	*Aug- Yr 2*	*Sep- Yr 2*	*Oct- Yr 2*	*Nov- Yr 2*
668 Final Project: Kent Anderson DCF Model																									
Lot Closing Schedule	103		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	10	0	0	10	0
Cumulative Lot Absorption			**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**10**	**10**	**10**	**20**	**20**
668 Assignment		**Months of Interes**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**1**	**2**	**3**	**4**
Total Lots Sales	8,755,000		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	850,000	0	0	850,000	0
Escalation	809,625		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	15,938	0
Total Sales With Escalation	**9,564,625**		**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**850,000**	**0**	**0**	**865,938**	**0**
MUD Reimbursement	2,556,192		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
TOTAL SALES w ESCALATION & MUD REIM	12,120,817		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	850,000	0	0	865,938	0

SALES PROCEEDS

Escalation Rate Increases

	Total	*Dec- Yr 2*	*Jan- Yr 3*	*Feb- Yr 3*	*Mar- Yr 3*	*Apr- Yr 3*	*May- Yr 3*	*Jun- Yr 3*	*Jul- Yr 3*	*Aug- Yr 3*	*Sep- Yr 3*	*Oct- Yr 3*	*Nov- Yr 3*	*Dec- Yr 3*	*Jan- Yr 4*	*Feb- Yr 4*	*Mar- Yr 4*	*Apr- Yr 4*	*May- Yr 4*	*Jun- Yr 4*	*Jul- Yr 4*	*Aug- Yr 4*	*Sep- Yr 4*	*Oct- Yr 4*	*Nov- Yr 4*	*Dec- Yr 4*	*Jan- Yr 5*	*Feb- Yr 5*	*Mar- Yr 5*
668 Final Project: Kent Anderson DCF Model																													
Lot Closing Schedule	103	0	10	0	0	10	0	0	10	0	0	10	0	0	10	0	0	10	0	0	10	0	0	10	0	0	3	0	0
Cumulative Lot Absorption		**20**	**30**	**30**	**30**	**40**	**40**	**40**	**50**	**50**	**50**	**60**	**60**	**60**	**70**	**70**	**70**	**80**	**80**	**80**	**90**	**90**	**90**	**100**	**100**	**100**	**103**	**103**	**103**
668 Assignment		**5**	**6**	**7**	**8**	**9**	**10**	**11**	**12**	**13**	**14**	**15**	**16**	**17**	**18**	**19**	**20**	**21**	**22**	**23**	**24**	**25**	**26**	**27**	**28**	**29**	**30**	**31**	**32**
Total Lots Sales	8,755,000	0	850,000	0	0	850,000	0	0	850,000	0	0	850,000	0	0	850,000	0	0	850,000	0	0	850,000	0	0	850,000	0	0	255,000	0	0
Escalation	809,625	0	31,875	0	0	47,813	0	0	68,000	0	0	85,000	0	0	102,000	0	0	119,000	0	0	136,000	0	0	153,000	0	0	51,000	0	0
Total Sales With Escalation	**9,564,625**	**0**	**881,875**	**0**	**0**	**897,813**	**0**	**0**	**918,000**	**0**	**0**	**935,000**	**0**	**0**	**952,000**	**0**	**0**	**969,000**	**0**	**0**	**986,000**	**0**	**0**	**#######**	**0**	**0**	**306,000**	**0**	**0**
MUD Reimbursement	2,556,192	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
TOTAL SALES w ESCALATION & MUD REIM	12,120,817	0	881,875	0	0	897,813	0	0	918,000	0	0	935,000	0	0	952,000	0	0	969,000	0	0	986,000	0	0	#######	0	0	306,000	0	0

SALES PROCEEDS

	Total	*Apr- Yr 5*	*May- Yr 5*	*Jun- Yr 5*	*Jul- Yr 5*	*Aug- Yr 5*	*Sep- Yr 5*	*Oct- Yr 5*	*Nov- Yr 5*	*Dec- Yr 5*	*Jan- Yr 6*
668 Final Project: Kent Anderson DCF Model											
Lot Closing Schedule	103	0	0	0	0	0	0	0	0	0	0
Cumulative Lot Absorption		**103**	**103**	**103**	**103**	**103**	**103**	**103**	**103**	**103**	**103**
668 Assignment		**33**	**34**	**35**	**36**	**37**	**38**	**39**	**40**	**41**	**42**
Total Lots Sales	8,755,000	0	0	0	0	0	0	0	0	0	0
Escalation	809,625	0	0	0	0	0	0	0	0	0	0
Total Sales With Escalation	**9,564,625**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
MUD Reimbursement	2,556,192	0	0	0	0	0	0	0	0	0	########
TOTAL SALES w ESCALATION & MUD REIM	12,120,817	0	0	0	0	0	0	0	0	0	########

668 Final Project: Kent Anderson DCF Model	Total	A&D Loan & Land Closing												Initial Lot Closing															
		Jan- Yr 1	Feb- Yr 1	Mar- Yr 1	Apr- Yr 1	May- Yr 1	Jun- Yr 1	Jul- Yr 1	Aug- Yr 1	Sep- Yr 1	Oct- Yr 1	Nov- Yr 1	Dec- Yr 1	Jan- Yr 2	Feb- Yr 2	Mar- Yr 2	Apr- Yr 2	May- Yr 2	Jun- Yr 2	Jul- Yr 2	Aug- Yr 2	Sep- Yr 2	Oct- Yr 2	Nov- Yr 2	Dec- Yr 2	Jan- Yr 3	Feb- Yr 3	Mar- Yr 3	Apr- Yr 3	May- Yr 3	Jun- Yr 3	Jul- Yr 3
Cash Sources:																													
Total Lot Sales Proceeds	9,564,625	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	850,000	0	0	865,938	0	0	881,875	0	0	897,813	0	0	918,000
Earnest Money	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
MUD Reimbursement	2,556,192	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Equity Contribution - Initial Contribution	2,008,046	0	0	25,000	0	0	50,000	1,933,046	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	14,128,863	**0**	**0**	**25,000**	**0**	**0**	**50,000**	**1,933,046**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**850,000**	**0**	**0**	**865,938**	**0**	**0**	**881,875**	**0**	**0**	**897,813**	**0**	**0**	**918,000**
Debt Proceeds - Phase 1 A&D Loan	7,172,747	0	0	0	0	0	0	193,899	221,131	136,507	502,170	505,727	872,670	893,930	885,183	891,453	438,757	476,198	116,211	194,534	73,775	74,298	42,655	34,630	34,875	67,781	29,668	29,878	32,590	24,279	24,451	27,849
Total Cash Sources	21,301,610	**0**	**0**	**25,000**	**0**	**0**	**50,000**	**2,126,944**	**221,131**	**136,507**	**502,170**	**505,727**	**872,670**	**893,930**	**885,183**	**891,453**	**438,757**	**476,198**	**116,211**	**1,044,534**	**73,775**	**74,298**	**908,593**	**34,630**	**34,875**	**949,656**	**29,668**	**29,878**	**930,403**	**24,279**	**24,451**	**945,849**
Cash Uses:																																
Land Acquisition																																
Land Acquisition	(2,101,944)	0	0	(25,000)	0	0	(50,000)	(2,026,944)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	(2,101,944)	**0**	**0**	**(25,000)**	**0**	**0**	**(50,000)**	**(2,026,944)**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Development Costs																																
Rollback Taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Boundary Survey, Topo, Land Plan, Enviro, Geotech, etc.	(50,000)	0	0	0	0	0	0	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Clearing and Grubbing	(36,191)	0	0	0	0	0	0	0	(36,191)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
WS&D Distribution	(1,930,160)	0	0	0	0	0	0	0	0	0	(321,693)	(321,693)	(321,693)	(321,693)	(321,693)	(321,693)	(321,693)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Detention Pond	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Off-Site WS&D	(50,000)	0	0	0	0	0	0	0	0	0	(8,333)	(8,333)	(8,333)	(8,333)	(8,333)	(8,333)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Paving	(1,930,160)	0	0	0	0	0	0	0	0	0	0	0	(321,693)	(321,693)	(321,693)	(321,693)	(321,693)	(321,693)	(321,693)	0	0	0	0	0	0	0	0	0	0	0	0	0
Off-Site Paving	(250,000)	0	0	0	0	0	0	0	0	0	0	0	(41,667)	(41,667)	(41,667)	(41,667)	(41,667)	(41,667)	(41,667)	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - WS&D	(396,032)	0	0	0	0	0	0	0	(49,504)	(49,504)	(49,504)	(49,504)	(49,504)	(49,504)	(49,504)	(49,504)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - Paving	(436,032)	0	0	0	0	0	0	0	(54,504)	(54,504)	(54,504)	(54,504)	(54,504)	(54,504)	(54,504)	(54,504)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - Drainage Study	(50,000)	0	0	0	0	0	0	0	(6,250)	(6,250)	(6,250)	(6,250)	(6,250)	(6,250)	(6,250)	(6,250)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - Miscellaneous	(25,000)	0	0	0	0	0	0	0	(3,125)	(3,125)	(3,125)	(3,125)	(3,125)	(3,125)	(3,125)	(3,125)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
MUD Creation/Annexation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Materials Testing - WS&D	(59,405)	0	0	0	0	0	0	0	(7,426)	(7,426)	(7,426)	(7,426)	(7,426)	(7,426)	(7,426)	(7,426)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Materials Testing - Paving	(65,405)	0	0	0	0	0	0	0	(8,176)	(8,176)	(8,176)	(8,176)	(8,176)	(8,176)	(8,176)	(8,176)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Entries, landscaping, amenities, etc.	(103,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	(34,333)	(34,333)	(34,333)	0	0	0	0	0	0	0	0	0	0	0	0
Removal of House, plugging of wells, etc…	(50,000)	0	0	0	0	0	0	0	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Legal Fees	(50,000)	0	0	0	0	0	0	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Development Management Fees	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
SWPPP	(55,000)	0	0	0	0	0	0	0	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	(4,583)	0	0	0	0	0	0	0	0	0	0	0	0
HOA Administration/Subsidy	(75,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	(75,000)	0	0	0	0	0	0	0	0	0	0	0	0
Development Loan Interest	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Contingency	(416,032)	0	0	0	0	0	0	0	0	0	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	(34,669)	0	0	0	0	0	0	0	0	0	0
Lot Closing Costs	(25,750)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	(2,500)	0	0	(2,500)	0	0	(2,500)	0	0	(2,500)	0	0	(2,500)
Property Taxes	(369,802)	0	0	0	0	0	0	0	0	0	0	0	(15,079)	0	0	0	0	0	0	0	0	0	0	0	0	(30,159)	0	0	0	0	0	0
Total	(6,422,968)	**0**	**0**	**0**	**0**	**0**	**0**	**(100,000)**	**(219,758)**	**(133,568)**	**(498,264)**	**(498,264)**	**(861,624)**	**(876,703)**	**(861,624)**	**(861,624)**	**(402,613)**	**(436,946)**	**(73,586)**	**(151,086)**	**(34,669)**	**(34,669)**	**(2,500)**	**0**	**0**	**(32,659)**	**0**	**0**	**(2,500)**	**0**	**0**	**(2,500)**
Return of Capital	(2,008,046)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Profit Payout	(2,821,039)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Debt Service:																																
Scheduled Amortization - Phase 1 A&D Loan	(7,842,844)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	(807,500)	0	0	(822,641)	0	0	(837,781)	0	0	(852,922)	0	0	(872,100)
Unscheduled Amortization - Phase 1 A&D Loan	670,097	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Interest Expense - Phase 1 A&D Loan	(774,866)	0	0	0	0	0	0	0	(1,373)	(2,940)	(3,907)	(7,464)	(11,046)	(17,227)	(23,559)	(29,829)	(36,144)	(39,252)	(42,625)	(43,448)	(39,106)	(39,629)	(40,155)	(34,630)	(34,875)	(35,122)	(29,668)	(29,878)	(30,090)	(24,279)	(24,451)	(25,349)
Total	(7,947,613)	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**(1,373)**	**(2,940)**	**(3,907)**	**(7,464)**	**(11,046)**	**(17,227)**	**(23,559)**	**(29,829)**	**(36,144)**	**(39,252)**	**(42,625)**	**(850,948)**	**(39,106)**	**(39,629)**	**(862,796)**	**(34,630)**	**(34,875)**	**(872,904)**	**(29,668)**	**(29,878)**	**(883,012)**	**(24,279)**	**(24,451)**	**(897,448)**
Total Cash Uses	(21,301,610)	**0**	**0**	**(25,000)**	**0**	**0**	**(50,000)**	**(2,126,944)**	**(221,131)**	**(136,507)**	**(502,170)**	**(505,727)**	**(872,670)**	**(893,930)**	**(885,183)**	**(891,453)**	**(438,757)**	**(476,198)**	**(116,211)**	**(1,002,034)**	**(73,775)**	**(74,298)**	**(865,296)**	**(34,630)**	**(34,875)**	**(905,562)**	**(29,668)**	**(29,878)**	**(885,512)**	**(24,279)**	**(24,451)**	**(899,949)**
Net Cash Flow	(0)	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**42,500**	**0**	**0**	**43,297**	**0**	**0**	**44,094**	**0**	**0**	**44,891**	**0**	**0**	**45,900**
Cumulative Cash Flow		**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**42,500**	**42,500**	**42,500**	**85,797**	**85,797**	**85,797**	**129,891**	**129,891**	**129,891**	**174,781**	**174,781**	**174,781**	**220,681**
Operating Account:																																
Beginning Balance		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	42,500	42,500	42,500	85,797	85,797	85,797	129,891	129,891	129,891	174,781	174,781	174,781
Monthly Net Cash Flow		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	42,500	0	0	43,297	0	0	44,094	0	0	44,891	0	0	45,900
Ending Balance		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	42,500	42,500	42,500	85,797	85,797	85,797	129,891	129,891	129,891	174,781	174,781	174,781	220,681
Partners Capital (cash basis):																																
Beginning Balance		0	0	(25,000)	(25,000)	(25,000)	(75,000)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)
Capital Contributions		0	0	(25,000)	0	0	(50,000)	(1,933,046)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Return of Capital		0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Ending Balance		0	0	(25,000)	(25,000)	(25,000)	(75,000)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)
Partners Cash Flow		0	0	(25,000)	0	0	(50,000)	(1,933,046)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0

IRR= 22.46%

668 Final Project: Kent Anderson DCF Model	Total	Aug- Yr 3	Sep- Yr 3	Oct- Yr 3	Nov- Yr 3	Dec- Yr 3	Jan- Yr 4	Feb- Yr 4	Mar- Yr 4	Apr- Yr 4	May- Yr 4	Jun- Yr 4	Jul- Yr 4	Aug- Yr 4	Sep- Yr 4	Oct- Yr 4	Nov- Yr 4	Dec- Yr 4	Jan- Yr 5	Feb- Yr 5	Mar- Yr 5	Apr- Yr 5	May- Yr 5	Jun- Yr 5	Jul- Yr 5	Aug- Yr 5	Sep- Yr 5	Oct- Yr 5	Nov- Yr 5	Dec- Yr 5	Jan- Yr 6
Cash Sources:																															
Total Lot Sales Proceeds	9,564,625	0	0	935,000	0	0	952,000	0	0	969,000	0	0	986,000	0	0	1,003,000	0	0	306,000	0	0	0	0	0	0	0	0	0	0	0	0
Earnest Money	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
MUD Reimbursement	2,556,192	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	2,556,192
Equity Contribution - Initial Contribution	2,008,046	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	14,128,863	**0**	**0**	**935.000**	**0**	**0**	**952.000**	**0**	**0**	**969.000**	**0**	**0**	**986.000**	**0**	**0**	**1.003.000**	**0**	**0**	**306.000**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**2.556.192**
Debt Proceeds - Phase 1 A&D Loan	7,172,747	19,193	19,333	21,974	13,157	13,253	224,678	8,393	8,455	11,016	1,884	1,898	4,412	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Cash Sources	21,301,610	**19,193**	**19,333**	**956,974**	**13,157**	**13,253**	**1,176,678**	**8,393**	**8,455**	**980,016**	**1,884**	**1,898**	**990,412**	**0**	**0**	**1,003,000**	**0**	**0**	**306,000**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**2,556,192**
Cash Uses:																															
Land Acquisition																															
Land Acquisition	(2,101,944)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	(2,101,944)	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Development Costs																															
Rollback Taxes	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Boundary Survey, Topo, Land Plan, Enviro, Geotech, etc.	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Clearing and Grubbing	(36,191)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
WS&D Distribution	(1,930,160)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Detention Pond	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Off-Site WS&D	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Paving	(1,930,160)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Off-Site Paving	(250,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - WS&D	(396,032)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - Paving	(436,032)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - Drainage Study	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Engineering - Miscellaneous	(25,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
MUD Creation/Annexation	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Materials Testing - WS&D	(59,405)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Materials Testing - Paving	(65,405)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Entries, landscaping, amenities, etc.	(103,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Removal of House, plugging of wells, etc…	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Legal Fees	(50,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Development Management Fees	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
SWPPP	(55,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
HOA Administration/Subsidy	(75,000)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Development Loan Interest	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Contingency	(416,032)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Lot Closing Costs	(25,750)	0	0	(2,500)	0	0	(2,500)	0	0	(2,500)	0	0	(2,500)	0	0	(2,500)	0	0	(750)	0	0	0	0	0	0	0	0	0	0	0	0
Property Taxes	(369,802)	0	0	0	0	0	(208,828)	0	0	0	0	0	0	0	0	0	0	0	(108,188)	0	0	0	0	0	0	0	0	0	0	0	(7,548)
Total	(6,422,968)	**0**	**0**	**(2,500)**	**0**	**0**	**(211,328)**	**0**	**0**	**(2,500)**	**0**	**0**	**(2,500)**	**0**	**0**	**(2,500)**	**0**	**0**	**(108,938)**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**(7,548)**
Return of Capital	(2,008,046)	0	0	0	0	0	0	0	0	0	0	0	(1,000,000)	0	0	0	0	0	########	0	0	0	0	0	0	0	0	0	0	0	(8,046)
Profit Payout	(2,821,039)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	(2,821,039)
Debt Service:																															
Scheduled Amortization - Phase 1 A&D Loan	(7,842,844)	0	0	(888,250)	0	0	(904,400)	0	0	(920,550)	0	0	(936,700)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Unscheduled Amortization - Phase 1 A&D Loan	670,097	0	0	0	0	0	0	0	0	0	0	0	670,097	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Interest Expense - Phase 1 A&D Loan	(774,866)	(19,193)	(19,333)	(19,474)	(13,157)	(13,253)	(13,350)	(8,393)	(8,455)	(9,516)	(1,884)	(1,898)	(1,912)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)
Total	(7,947,613)	**(19,193)**	**(19,333)**	**(907,724)**	**(13,157)**	**(13,253)**	**(917,750)**	**(8,393)**	**(8,455)**	**(929,066)**	**(1,884)**	**(1,898)**	**(268,515)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**
Total Cash Uses	(21,301,610)	**(19,193)**	**(19,333)**	**(910,224)**	**(13,157)**	**(13,253)**	**(1,129,078)**	**(8,393)**	**(8,455)**	**(931,566)**	**(1,884)**	**(1,898)**	**(1,271,015)**	**(0)**	**(0)**	**(2,500)**	**(0)**	**(0)**	**########**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(2,836,633)**
Net Cash Flow	(0)	**0**	**0**	**46.750**	**0**	**0**	**47.600**	**0**	**0**	**48.450**	**0**	**0**	**(280.603)**	**(0)**	**(0)**	**1.000.500**	**(0)**	**(0)**	**(802.938)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(0)**	**(280.441)**
Cumulative Cash Flow		**220,681**	**220,681**	**267,431**	**267,431**	**267,431**	**315,031**	**315,031**	**315,031**	**363,481**	**363,481**	**363,481**	**82,878**	**82,878**	**82,878**	**1,083,378**	**1,083,378**	**1,083,378**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**280,440**	**(0)**

Operating Account:																														
Beginning Balance	220,681	220,681	220,681	267,431	267,431	267,431	315,031	315,031	315,031	363,481	363,481	363,481	82,878	82,878	82,878	1,083,378	1,083,378	1,083,378	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440
Monthly Net Cash Flow	0	0	46,750	0	0	47,600	0	0	48,450	0	0	(280,603)	(0)	(0)	1,000,500	(0)	(0)	(802,938)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(0)	(280,441)
Ending Balance	220,681	220,681	267,431	267,431	267,431	315,031	315,031	315,031	363,481	363,481	363,481	82,878	82,878	82,878	1,083,378	1,083,378	1,083,378	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	280,440	(0)
Partners Capital (cash basis):																														
Beginning Balance	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	#########	#########	#########	#########	#########	#########	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)
Capital Contributions	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Return of Capital	0	0	0	0	0	0	0	0	0	0	0	0	1,000,000	0	0	0	0	0	1,000,000	0	0	0	0	0	0	0	0	0	0	0	8,046
Ending Balance	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(2,008,046)	(1,008,046)	#########	#########	#########	#########	#########	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	(8,046)	0
Partners Cash Flow	0	0	0	0	0	0	0	0	0	0	0	0	1,000,000	0	0	0	0	0	1,000,000	0	0	0	0	0	0	0	0	0	0	0	2,829,085

DEBT SCHEDULE

668 Final Project: Kent Anderson DCF Model

Lender's Collateral Release Rate **95%**

A&D Loan	Debt Issuance	Jan- Yr 1	Feb- Yr 1	Mar- Yr 1	Apr- Yr 1	May- Yr 1	Jun- Yr 1	Jul- Yr 1	Aug- Yr 1	Sep- Yr 1	Oct- Yr 1	Nov- Yr 1	Dec- Yr 1	Jan- Yr 2	Feb- Yr 2	Mar- Yr 2	Apr- Yr 2	May- Yr 2	Jun- Yr 2	Jul- Yr 2	Aug- Yr 2	Sep- Yr 2	Oct- Yr 2	Nov- Yr 2	Dec- Yr 2	Jan- Yr 3	Feb- Yr 3	Mar- Yr 3
		A&D Loan & Land Closing																		Initial Lot Closing								
Beginning Balance - Phase 1 A&D Loan		**0**	**0**	**0**	**0**	**0**	**0**	**0**	**193,899**	**415,030**	**551,537**	**1,053,708**	**1,559,435**	**2,432,104**	**3,326,035**	**4,211,218**	**5,102,671**	**5,541,427**	**6,017,625**	**6,133,836**	**5,520,870**	**5,594,645**	**5,668,943**	**4,888,958**	**4,923,588**	**4,958,463**	**4,188,463**	**4,218,132**
Plus: Debt Issuance for Land	**93,899**	0	0	0	0	0	0	93,899	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Plus: Debt Issuance for Development Costs	**6,303,982**	0	0	0	0	0	0	100,000	219,758	133,568	498,264	498,264	861,624	876,703	861,624	861,624	402,613	436,946	73,586	151,086	34,669	34,669	2,500	0	0	32,659	0	0
Plus: Debt Issuance for Interest Expense	**774,866**	0	0	0	0	0	0	0	1,373	2,940	3,907	7,464	11,046	17,227	23,559	29,829	36,144	39,252	42,625	43,448	39,106	39,629	40,155	34,630	34,875	35,122	29,668	29,878
Less: Scheduled Amortization9	**(7,842,844)**	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	(807,500)	0	0	(822,641)	0	0	(837,781)	0	0
Less: Unscheduled Amortization	$670,097	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total/Ending Balance	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**193,899**	**415,030**	**551,537**	**1,053,708**	**1,559,435**	**2,432,104**	**3,326,035**	**4,211,218**	**5,102,671**	**5,541,427**	**6,017,625**	**6,133,836**	**5,520,870**	**5,594,645**	**5,668,943**	**4,888,958**	**4,923,588**	**4,958,463**	**4,188,463**	**4,218,132**	**4,248,010**
Interest Rate		0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%	8.50%
Interest Expense	**774,866**	$0	$0	$0	$0	$0	$0	$0	$1,373	$2,940	$3,907	$7,464	$11,046	$17,227	$23,559	$29,829	$36,144	$39,252	$42,625	$43,448	$39,106	$39,629	$40,155	$34,630	$34,875	$35,122	$29,668	$29,878

Apr- Yr 3	May- Yr 3	Jun- Yr 3	Jul- Yr 3	Aug- Yr 3	Sep- Yr 3	Oct- Yr 3	Nov- Yr 3	Dec- Yr 3	Jan- Yr 4	Feb- Yr 4	Mar- Yr 4	Apr- Yr 4	May- Yr 4	Jun- Yr 4	Jul- Yr 4	Aug- Yr 4	Sep- Yr 4	Oct- Yr 4	Nov- Yr 4	Dec- Yr 4	Jan- Yr 5	Feb- Yr 5	Mar- Yr 5	Apr- Yr 5	May- Yr 5	Jun- Yr 5	Jul- Yr 5	Aug- Yr 5	Sep- Yr 5	Oct- Yr 5	Nov- Yr 5	Dec- Yr 5	Jan- Yr 6
4,248,010	**3,427,678**	**3,451,958**	**3,476,409**	**2,632,158**	**2,651,351**	**2,670,683**	**1,804,407**	**1,817,564**	**1,830,817**	**1,151,095**	**1,159,488**	**1,167,943**	**258,409**	**260,293**	**262,191**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
2,500	0	0	2,500	0	0	2,500	0	0	211,328	0	0	2,500	0	0	2,500	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
30,090	24,279	24,451	25,349	19,193	19,333	19,474	13,157	13,253	13,350	8,393	8,455	8,516	1,884	1,898	1,912	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
(852,922)	0	0	(872,100)	0	0	(888,250)	0	0	(904,400)	0	0	(920,550)	0	0	(936,700)	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	670,097	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
3,427,678	**3,451,958**	**3,476,409**	**2,632,158**	**2,651,351**	**2,670,683**	**1,804,407**	**1,817,564**	**1,830,817**	**1,151,095**	**1,159,488**	**1,167,943**	**258,409**	**260,293**	**262,191**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
8.50%	8.50%	8.50%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%	8.75%
$30,090	$24,279	$24,451	$25,349	$19,193	$19,333	$19,474	$13,157	$13,253	$13,350	$8,393	$8,455	$8,516	$1,884	$1,898	$1,912	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0